

withdrawal (e.g. from a traditional IRA). Let's also assume that the average return on your investment for the next year would be ~8%. At the end of that year, you'd have \$1,080 in your account. In another year after that, based on annual compounding with a return of 8%, you'd have \$1,166 from an original investment of \$1,000.

However, if you decided to take that \$1,000 as an early withdrawal instead of leaving it to grow, you'd have to pay the following (assuming a 30% tax rate):

Early withdrawal penalty of 10% = -\$100

Federal and state tax withholding = -\$300

As a result, the balance you would receive would only be \$600.00. In addition, your original \$1,000 would miss out on the potential earnings and compounding over the years to come, so the lost opportunity is even greater.

It could be that you are eligible to take a loan from a 401(k) that you will pay back over time. While you won't be subject to paying a penalty or taxes in this scenario as long as you pay back the loan, it is likely that you'll be paying interest on the loan amount in addition to (again) sacrificing potential earnings and compounding.

However, if you left that money alone for 10 years, the potential future value of your \$1,000 retirement savings could be \$2,159, assuming an average return of 8% over that 10 years. That's \$600 versus \$2,159. The difference is major. And this is only based on our example of \$1,000. If it was based on \$10,000, it would be a difference of getting \$6,000 immediately versus \$21,590 in 10 years. I'll just leave that right there.

ARE YOU SAVING ENOUGH?

As you save for retirement, another important thing to consider is whether you are saving enough. Basically, how much do you need to live comfortably during your retirement years, given that retirement can last on average upwards of 20 to 25 years? Here's how to determine your number.